

Trading Psychology Cheat Sheet

The 10 most common behavioral mistakes and exactly how to fix each one.

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Most traders do not lose money because they cannot read charts. They lose money because of how they behave under pressure. These are the 10 behavioral patterns that destroy trading accounts — and what to do about each one.

1. Revenge Trading

After a loss, the urge to immediately make it back by sizing up or taking a low-quality trade. Fix: Honor your daily max loss. If you hit it, close the platform. The market will be there tomorrow.

2. FOMO — Fear of Missing Out

Chasing a stock that has already moved significantly because you feel like you are missing the opportunity. Fix: Accept that you missed the move. The next setup is always coming. Chasing is the most expensive habit in trading.

3. Overtrading

Taking too many trades, often out of boredom or restlessness. The best traders take fewer trades, not more. Fix: Require a specific checklist to be met before every entry. No checklist met, no trade.

4. Moving Your Stop

Moving your stop loss further away from your entry when the trade is going against you to avoid booking a loss. Fix: The stop is the stop. It was right when you set it. Moving it is the only way a small loss becomes an account-damaging loss.

5. Averaging Down Into Losers

Adding to a position that is going against you because the price is "cheaper." Fix: Your stop defines when you are wrong. When you are wrong, you exit — you do not add. Averaging down is how traders blow up accounts.

6. Taking Profits Too Early

PSYCHOLOGY

Exiting winners the moment they are slightly profitable out of fear they will reverse. Fix: Set a target before you enter. Use a partial exit strategy — take some off at your first target, trail the rest.

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Taking aggressive longs while SPY is selling off hard. Fix: Check the indexes first. Trade with the tide, not against it.

8. Trading Without a Plan

Entering trades without a defined entry, stop, and target. Fix: No plan, no trade. Every entry must have all three defined before you click the button.

9. Sizing Up After Wins

Getting overconfident after a good run and taking much larger positions than normal. Fix: Keep position size consistent. Your process works at normal size. It does not work better at 3x size.

10. Not Reviewing Your Trades

Trading every day without reviewing what is working and what is not. Fix: Journal every trade. Review weekly. Your data will tell you exactly where you are making and losing money.